

UCHUMI SUPERMARKETS LTD
AUDITED
CONSOLIDATED INCOME STATEMENT
FOR THE YEAR ENDED

	30th June 2010 Kshs'000	30th June 2011 Kshs'000	30th June 2012 Kshs'000
Total Net Sales	9,608,926	10,840,728	13,918,530
Gross Profits	2,133,911	2,348,776	3,139,710
Operating Expenses	(1,597,161)	(1,830,313)	(2,711,285)
Profit from Operating Activities	536,750	518,463	428,425
Finance Costs	(103,558)	(3,630)	(25,082)
Profit Before Taxation	433,192	514,833	403,343
Taxation	431,907	(124,408)	(129,366)
Profit After Taxation	865,099	390,425	273,977
Profit Per Share	4.81	1.47	1.03

CONSOLIDATED BALANCE SHEET
ASSETS
NON CURRENT ASSETS
CURRENT ASSETS
TOTAL ASSETS
SHAREHOLDERS' EQUITY AND LIABILITIES:
CAPITAL AND RESERVES

Share Capital
Reserves

NON CURRENT LIABILITIES

Term Loans

CURRENT LIABILITIES
TOTAL SHAREHOLDERS' EQUITY AND LIABILITIES

1,959,944	2,607,070	3,347,742
1,193,567	1,397,650	1,594,146
3,153,511	4,004,720	4,941,888
900,000	1,327,133	1,327,133
638,933	952,032	1,330,677
1,538,933	2,279,165	2,657,810
320,140	183,368	80,309
1,294,438	1,542,187	2,203,769
3,153,511	4,004,720	4,941,888

Commentary on 2011/12 Performance
OVERVIEW

The operating environment in the East African region in 2011/12 was challenging for business. Kenya's GDP growth declined from 5.6% in the previous year to 4.2% in the 2011/12 financial year. Tanzania also recorded a significant slowdown to 6.4% while Uganda's GDP grew by only 5.6%. High inflation translated in to lower unit consumption and it was usually challenging for retailers to record improved results during such periods as margins and growth remain depressed.

GROWTH

During the financial year ended 30th June 2012, we opened new outlets to increase traffic and grow sales revenue to cushion against the inevitably depressed margins and decreased per capita consumption while positioning our retail networks competitively. In July 2011, our maiden hyper branch in Tanzania at the Quality Mall was opened in Dar-es-Salaam. In August 2011, the Gulu (Northern Uganda) branch opened its doors followed by the Kabalagala branch in Kampala in November. In December 2011, we opened the Taj Mall Hyper branch in Nairobi followed by Freedom City Hyper on the Kampala – Entebbe road in Uganda in April 2012. By the close of the financial year 2011/12, our total branch network stood at 24 (i.e 19 in Kenya, 1 in Tanzania and 4 in Uganda).

PERFORMANCE

Uchumi Group has continued to record profits for the sixth consecutive years since reopening. Sales revenue and gross profits grew by 28% (or Kshs. 3,078 million) and 34% (or Kshs.791 million) respectively compared to 2010/11 mainly due to the opening of the five new branches during the year and prudent approaches to operations. The growth compared to 2009/10 was a growth of 45% (or Kshs. 4,310 million) and 47% (or Kshs.1,006 million) for sales and gross profits respectively. Annual customer numbers increased by 16% to 22 million compared to the 2010/11 levels of 19 million, and 2009/10 level of 18 million. During the year, costs grew in tandem with the growth in business as well as a result of runaway inflation caused by the increasing cost of global fuel prices which in itself is a significant factor on the prices of commodities. This was exacerbated by heavy non-recurrent initial operating costs for the new branches opened in the E.A region during the financial year. As a result, the Operating Costs to Net Revenue ratio went up to 19.6% in 2011/12 compared to 16.0% in 2010/11. This ratio is expected to reduce back to around the 16% level in the next financial year as the new branches mature. (The new branches will build their revenue potential in the new 2012/13 financial year to expected levels). Consequently, profits before tax during the year (Kshs 403 million) dropped by 21.7% from the 2010/11 level of Kshs 515 million. Earnings per Share stood at Kshs 1.03 per share, down from Kshs 1.47 in the last financial year.

The balance sheet however grew by 23.6% (or Kshs.937 million), from Kshs.4,005 Million in 2010/11 to Kshs. 4,942 Million in the year 2011/2012.

DIVIDENDS

Due to the expected sustained future growth in profits, the Board of Directors is recommending for approval by the shareholders a first and final dividend of Kshs 0.30 per ordinary share. The dividend comes after many years of drought.

CLOSURE OF REGISTER AND DATE OF PAYMENT

The register of members will be closed on Tuesday , 8th January 2013.

If approved , the dividend will be paid, net of with-holding tax where applicable, on or about Thursday 28th February 2013 to the shareholders whose names appear in the Register of Members at the close of business on Monday 7th January 2013.

BOARD OF DIRECTORS

The Board of Directors is pleased to announce the election of Ms Khadija Mire as the new Chairperson of the Board in line with Article 108 of the company's Articles of Association.

By order of the Board.

Eng. ABDULRAZAQ ADAN ALI, CBS
CHAIRMAN

DR. JONATHAN CIANO, MBS
CHIEF EXECUTIVE OFFICER